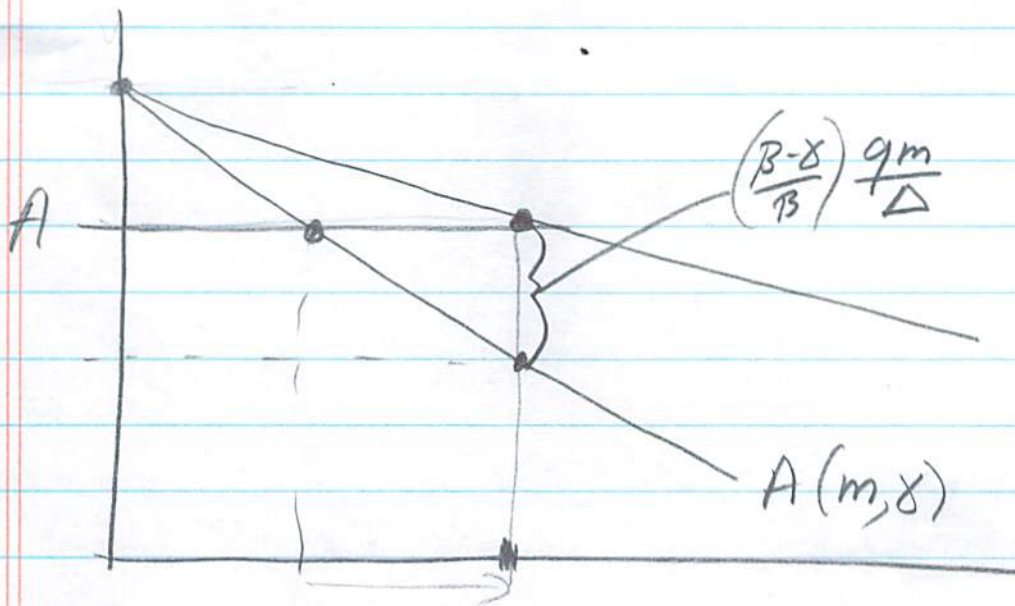
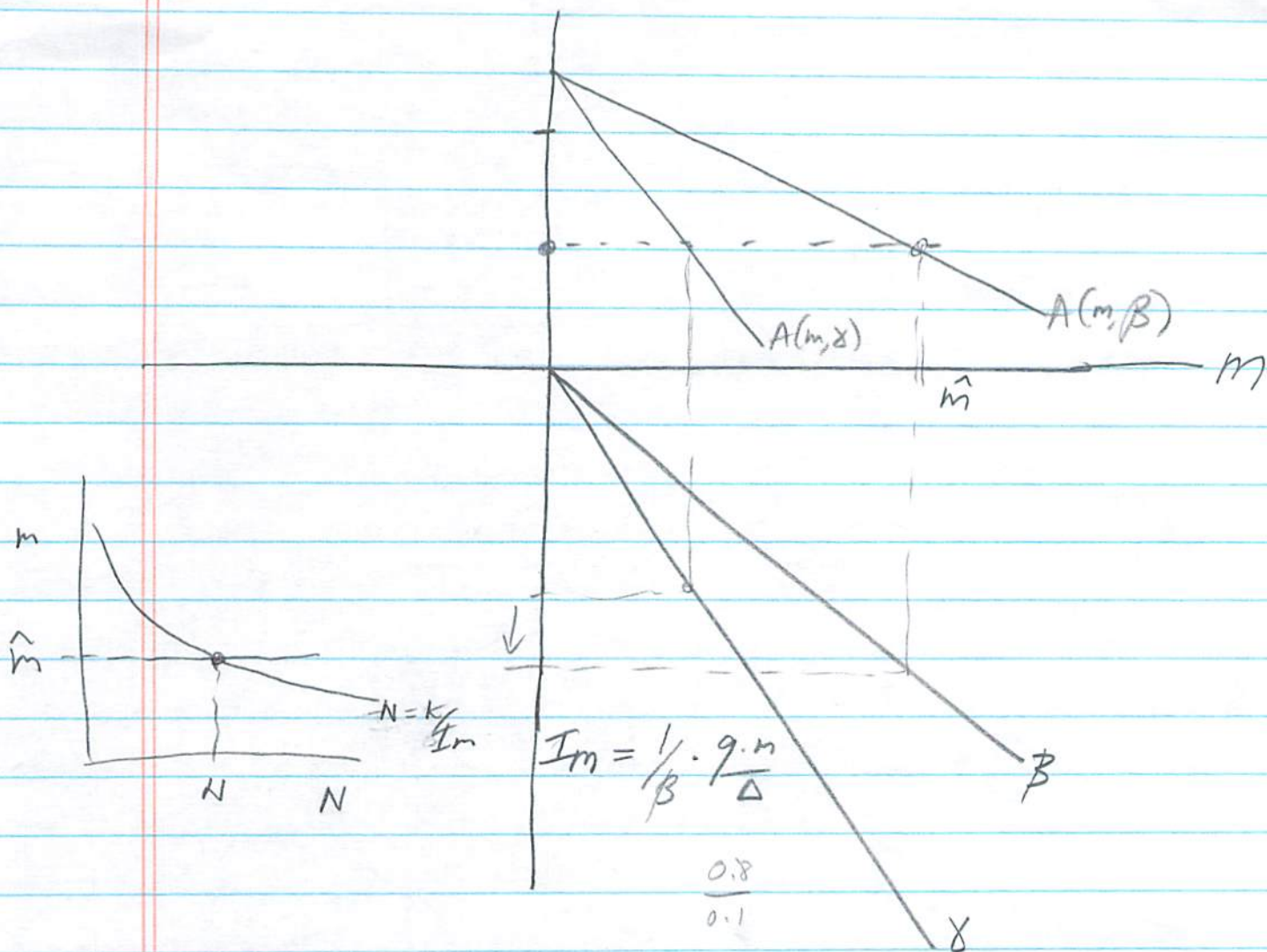




$$A(m, \beta) = A(m, \delta) + \frac{(B-\delta)}{B} \cdot \frac{q_m}{\Delta}$$

$$= A(m, \delta) + (B-\delta) I_m$$

higher $\beta \Rightarrow$ higher required monitoring.



-conceiv

dead

$$I_m = \frac{1}{\beta} \cdot \frac{g(m)}{\Delta}$$

$$A(m, \beta) = A$$

$$I_m(\beta^+, A^+)$$

dead in each neighborhood

(N?)

$$p_m - q_m$$

$$+ m + \frac{q_m}{\Delta}$$

$$PX \geq \underbrace{\delta(I - I_m)}_{\text{invest}} + \underbrace{\left[\frac{pB(m)}{\Delta} - A \right]}_{\text{borrow}} + \underbrace{\left[\frac{m + q_m}{\Delta} \right]}_{\text{MFI}}$$

MFI:

$$R = (R_u + R_m)$$

$$\beta = \frac{\text{expected profits}}{\text{shareholder equity}} = \frac{N \cdot (pR_m - m)}{N \cdot I_m} \quad \checkmark$$

from ICM: $pR_m \geq qR_m + m$

$$R_m \geq \frac{m}{\Delta}$$

participation C:

$$pR_m \geq m + \beta \cdot I_m \quad \checkmark$$

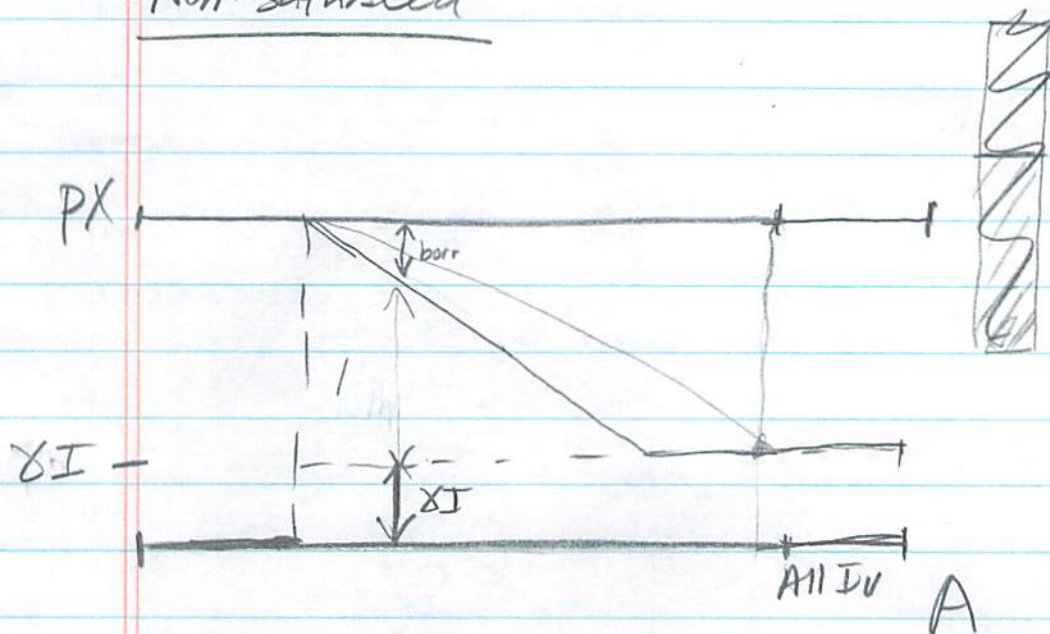
$$\frac{p m}{\Delta} - m \geq \beta \cdot I_m$$

$$\Rightarrow I_m = \frac{1}{\beta} \cdot \frac{q_m}{\Delta}$$

β eqn from: demand for I_m

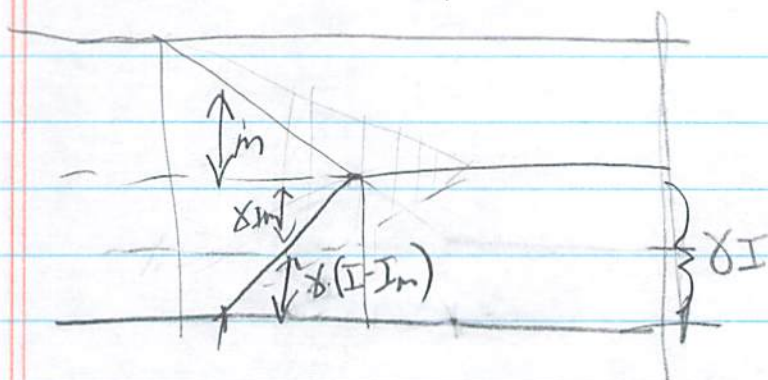
Suppose can only use sum to in neighborhood.

Non-saturated



$P_X \geq$

Simple case $\beta = \gamma$
 $m = \frac{1}{2} H \text{ cat } m$



$$P_X - \gamma I - m$$

$$m + \frac{gm}{\Delta} = m + (\beta - \gamma) I_m$$